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III Short answer questions

1. Give any three reasons for preparing bank reconciliation statement.
2. What is meant by the term "cheque not yet presented?"
3. Explain why does money deposited into bank appear on the debit side of the cash book, but on the credit side of the bank statement?
4. What will be the effect of interest charged by the bank, if the balance is an overdraft?
5. State the timing differences in BRS with examples.

IV Exercises

1. From the following particulars prepare a bank reconciliation statement of Jayakumar as on 31st December, 2016.

   (a) Balance as per cash book ` 7,130

   (b) Cheque deposited but not cleared ` 1,000

   (c) A customer has deposited ` 800 into the bank directly

   (**Answer:** Balance as per bank statement ` 6,930)

2. From the following particulars of Kamakshi traders, prepare a bank reconciliation statement as on 31st March, 2018.

   (a) Debit balance as per cash book ` 10,500

   (b) Cheque deposited into bank amounting to `5,500 credited by bank, but entered twice in the cash book

   (c) Cheques issued and presented for payment amounting to ` 7,000 omitted in the cash book

   (d) Cheque book charges debited by the bank ` 200 not recorded in the cash book.

   (e) Cash of ` 1,000 deposited by a customer of the business in cash deposit machine not recorded in the cash book.

   (**Answer:** Overdraft as per bank statement ` 1,200)